There were a few other types of special securities and bonds issued, including securities issued to international financial institutions like IMF, World Bank and ADB of Rs 1.02 lakh crore and special security issued against securitization balance under the Postal Life Insurance Fund (POLIF) of Rs 0.21 lakh crore. External debt was, at historical values, of Rs 2.99 lakh crore. Borrowings from NSSF, other than the securities issued to the Central government, were Rs 9.33 lakh crore. The liabilities of the provident fund balances of Central government employees, recorded as State Provident Fund, myriad sources were to the tune of Rs 2.28 lakh crore. The special securities issued through the Public Account for paying dues to oil and fertilizer companies were worth Rs 1.63 lakh crore and other items Rs 2.71 lakh crore. Together, these other accounts liabilities made up Rs 4.34 lakh crore. Lastly, reserve funds and deposits had a balance of Rs 3.32 lakh crore.

Non-Market Special Securities, Including FSBs, Need to Be Eliminated

All the special securities issued, other than those to international financial institutions and banks/domestic financial institutions for recapitalization, are carry-overs of the past.

The special securities issued to PSBs, EXIM Bank, IIFCL and IDBI Bank were used to provide equity capital investment to these public-sector entities. These banks and institutions were required to invest in these special securities, which they got back as equity. Equity infusion is a legitimate capital expenditure/investment of the government as long as these entities remain in the public sector and require capital. The government should have provided equity support by borrowing from the market. This would have led to proper accounting of the investment made and depicted the correct fiscal deficit.